

**Class 16**

# **Race, Migration, and Opportunity**

*Part III — Mobilizing People and Expanding Opportunity*

The American Economy — draft course materials (proposal under discussion)

## The point of today's class

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*Race shaped American economic outcomes because laws, violence, segregation, discrimination, and political exclusion restricted access to the growth machine — and when those barriers weakened, more talent flowed to productive uses, raising both opportunity and aggregate output.*

## Why it matters

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- ▶ This is an economics lecture, not a guilt lecture.
- ▶ Two bad versions of this class:
  - ▶ a purely moral narrative with no economics;
  - ▶ a purely market narrative that treats racial gaps as individual choices detached from institutions.
- ▶ Better: ask how institutions changed incentives, constraints, human capital, migration, political power, trust, and access to markets.
- ▶ The question is not only whether discrimination was wrong (it was) — it is how exclusion changed who could build, learn, move, invest, work, vote, trust, and rise.
- ▶ The pro-growth punchline: exclusion is not only unjust — it is economically destructive, because it wastes talent.

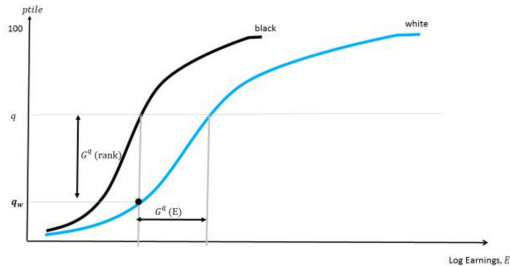
# Today

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1. The organizing puzzle: the Black–white earnings gap
2. From emancipation to incomplete opportunity
3. Exclusion wastes talent
4. The Great Migration as exit
5. Destination reactions: segregation and white flight
6. Representation and public goods
7. Trust as economic infrastructure

# The Black–white male earnings gap, 1940–2014

Figure 1: Racial Earnings Level and Earning Rank Gaps.



Source: Bayer and Charles (2018), *Quarterly Journal of Economics*, "Divergent Paths."

## The organizing puzzle

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- ▶ Bayer and Charles (“Divergent Paths”): the Black–white male earnings gap narrowed from 1940 to the mid-1970s — then widened again.
- ▶ Looking only at *employed* men can mislead: employment itself differs by race, so the full distribution matters.
- ▶ Today’s questions: why did the gap narrow, and why did progress stall?
- ▶ The answers run through institutions: schools, courts, migration, housing, voting, and trust.

## From emancipation to incomplete opportunity

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- ▶ The institutional sequence: 13th, 14th, and 15th Amendments → Reconstruction → Jim Crow → Civil Rights Act → Voting Rights Act.
- ▶ Self-ownership is the beginning of free labor — but opportunity also requires:

| Institution        | Why it mattered economically            |
|--------------------|-----------------------------------------|
| Schools            | Human capital                           |
| Land and property  | Wealth and collateral                   |
| Courts             | Enforcement and protection              |
| Voting             | Public goods and representation         |
| Migration          | Exit from bad local labor markets       |
| Housing and credit | Neighborhoods, wealth, entrepreneurship |

## Exclusion wastes talent

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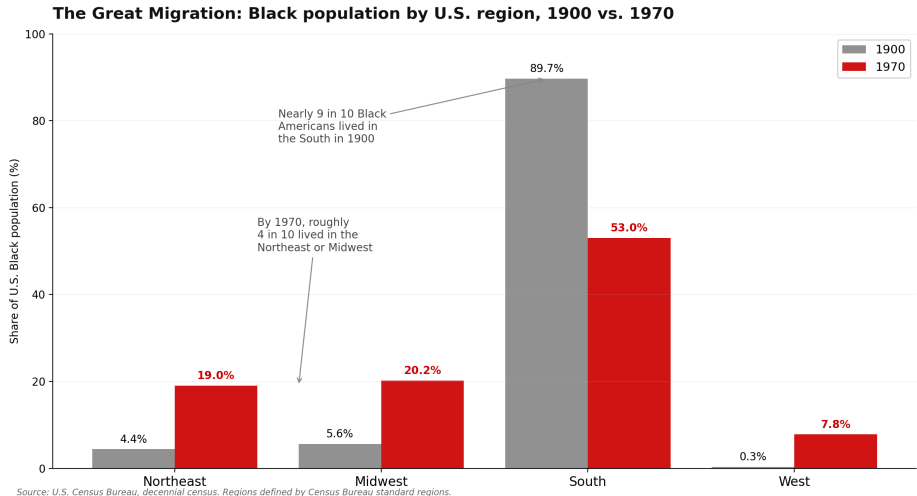
- ▶ Hsieh, Hurst, Jones, and Klenow: declining occupational barriers facing Black Americans and women account for roughly **15 to 20 percent** of growth in U.S. output per worker since 1960.
- ▶ The intuition, person by person:

| Talent                 | Blocked path                 | Economic loss                |
|------------------------|------------------------------|------------------------------|
| Potential engineer     | Excluded from STEM education | Lower innovation             |
| Potential doctor       | Excluded from medical school | Worse health                 |
| Potential entrepreneur | Denied credit                | Fewer firms and jobs         |
| Potential teacher      | Undereducated                | Lower next-generation skills |

- ▶ Reducing discrimination and human-capital barriers is not only redistribution — it is **growth policy**.



# The Great Migration: Black population by region, 1900 vs. 1970



Source: U.S. Census Bureau; Boustan (2017), *Competition in the Promised Land*.

## The Great Migration as exit

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- ▶ One of the largest internal reallocations of labor and families in U.S. history — a market response to bad institutions: violence, low wages, coercive agricultural labor markets, political exclusion.

| Benefit of moving          | Cost of moving                |
|----------------------------|-------------------------------|
| Higher wages               | Lost family networks          |
| More schools and jobs      | Travel cost                   |
| Less agricultural coercion | Discrimination in destination |
| Children's opportunities   | Housing segregation           |

- ▶ People move when expected benefits exceed expected costs — but the benefits depend on destination institutions.
- ▶ Collins and Wanamaker (linked censuses): migrants gained, but they were not randomly selected — which matters for causal claims.

## When the levee breaks (Hornbeck and Naidu)

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- ▶ The Great Mississippi Flood of 1927 as a shock to southern labor markets: flooded counties saw immediate and *persistent* Black out-migration.
- ▶ The argument: white landowners' access to cheap, controlled Black labor had restricted southern economic development.
- ▶ After losing that labor, flooded areas modernized.
- ▶ The pro-growth, anti-coercion lesson: economies built on cheap, coerced labor delay their own modernization.

## Destination reactions: opportunity met backlash

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- ▶ Derenoncourt: racial-composition shocks in northern cities, 1940–1970, reduced the gains from growing up in the North for Black families — explaining about **27%** of the region's racial upward-mobility gap today. Plausible mechanisms: persistent segregation, crime, policing.
- ▶ Shertzer and Walsh: as Black migrants arrived, white flight explains roughly **34%** of rising segregation in the 1910s and **50%** in the 1920s.
- ▶ Segregation is an economic institution: neighborhoods determine schools, housing wealth, peer networks, job access, safety, local taxes, and credit.
- ▶ Opportunity is not fixed — destinations can respond in ways that shrink it. (This tees up Class 17: place itself as an institution.)

## Representation and public goods (Logan)

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- ▶ Logan: Black officeholding during Reconstruction had positive, significant effects on local public finance.
- ▶ The mechanism chain: voting rights → officeholding → public spending → schools, roads, courts → human capital and market access.
- ▶ Representation is not merely symbolic — it changes taxes, spending, and local state capacity.
- ▶ This is where the 14th and 15th Amendments become *economic* institutions, not just political facts.

## Trust is economic infrastructure

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- ▶ Alsan and Wanamaker: after the Tuskegee Study was disclosed, medical mistrust and mortality rose among Black men — life expectancy at age 45 fell by up to 1.5 years, about 35% of the 1980 Black–white gap.
- ▶ When institutions betray trust, avoiding them can be rational even when avoidance is costly: delayed care, disengaged schooling, cash economies, underreporting.
- ▶ Trust is an economic asset — and institutional betrayal can destroy it for generations.
- ▶ The American achievement is not that exclusion never existed — it is that the rules could be contested, amended, litigated, and reformed toward broader participation.

## Discussion

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A Black family in Mississippi in 1920 considers moving to Chicago. Wages are higher, but housing is segregated, schools are unequal, and northern employers discriminate. Walk through the margins: wages, schools, housing, safety, networks. Would you move? And what would you need to estimate the *causal* effect of moving?

## Read before next class

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- ▶ Bayer and Charles, “Divergent Paths” (skim the figures) — the earnings-gap evidence.
- ▶ Hsieh, Hurst, Jones, and Klenow, “The Allocation of Talent and U.S. Economic Growth” (introduction) — exclusion as a growth problem.
- ▶ Derenoncourt, “Can You Move to Opportunity?” (skim) — destination institutions.